

Canadian Business Startup Checklist

Everything you need to legally launch your business in Canada

Step 1 — Choose Your Business Structure

- Sole proprietorship — simplest, you are the business
- Partnership — two or more owners, shared liability
- Corporation — separate legal entity, limited liability, more tax options
- Cooperative — member-owned, democratic control

Recommended for most tradespeople: Corporation or Sole Proprietorship

Step 2 — Register Your Business

- Choose and search your business name at your provincial registry
- Register federally at Canada Business Corporations Act (if incorporating federally)
- Register provincially (Ontario: ontario.ca/business, ServiceOntario)
- Get your Business Number (BN) from CRA — free, takes 10 minutes
- Register for HST/GST if revenue exceeds \$30,000/year (or voluntarily)

Step 3 — Banking & Finance Setup

- Open a dedicated business bank account (TD, RBC, Scotiabank all have SMB accounts)
- Apply for a business credit card — keeps expenses separate
- Set up accounting software (Wave is free, QuickBooks starts at \$20/mo)
- Track all receipts from day one — CRA requires 6 years of records
- Understand HST remittance schedule (quarterly or annual)

Step 4 — Licenses & Permits

- Check municipal business license requirements (city hall or [BizPaL.ca](https://bizpal.ca))
- Industry-specific licenses (trades, food service, childcare, etc.)
- Home-based business permit if working from home
- WSIB registration if you have employees in Ontario
- Professional liability insurance — get quotes before you launch

Step 5 — CRA Setup

- Register for My Business Account at CRA
- Set up payroll account if you have employees (RP account number)
- Understand quarterly instalment payments if self-employed
- Register for import/export account if selling internationally
- Set up direct deposit with CRA for any refunds

Self-Employed Mortgage Tip

Starting a business affects your mortgage eligibility. Lenders typically want 2 years of T1 Generals to prove income. If you're planning to buy a home, talk to a mortgage agent before you incorporate — timing matters. Contact Vaughan Mortgage Group at vaughanmortgagegroup.ca for a free consultation.